Management Journal and Wei Sun and Anthony Webb's "Should Households Base Asset Decumulation Strategies on Required Minimum Distribution Tables?" from Center for Retirement Research at Boston College) both studied the RMD rule as a spending option and found it to be a reasonable strategy that roughly approximates more sophisticated attempts to optimize spending.

The RMD rule contains the actuarial components of spending a percentage of remaining assets, which is calibrated to an updating remaining life expectancy, covering the *nper* and *pv* aspects of the PMT formula. Its deficiency is that it does not provide a mechanism for users to adjust the value of *rate* beyond whatever government policy makers initially assumed when developing the by-age RMD rates. The RMD rules assume investment returns of 0 percent, so they do not reflect asset allocation or other market return assumptions. With this conservative return assumption, some retirees may decide the RMD strategy provides overly conservative spending rates. The RMD rules also assume that the value of the portfolio can fall to zero by the end of life, setting aside the possibility of an intended safety margin or legacy.

A straightforward application of the RMD rule would not allow us to calibrate remaining wealth for our PAY Rule. I will modify the RMD rates so this calibration may take place. In order to accomplish this, I must find the appropriate factor to adjust all RMD percentages so the PAY Rule threshold is reached. Or, in the context of the examples I have been discussing thus far with decision rules, the initial spending rate is always 4 percent. My modified RMD rule simply multiplies all RMD percentages by 1.24 so that the sixty-five-year-old RMD percentage of 3.23 percent is adjusted upward to 4 percent. Subsequent spending rates are based on a percentage of remaining assets required by the rule and multiplied by the same calibration factor. While RMDs do not generally apply until age 70.5, distribution rates are published for younger ages, as they are relevant for inherited IRAs.

Exhibit 6.15 provides the historical outcomes for spending and wealth with this modified RMD rule. The most notable aspect of this rule is how it pushes down remaining wealth at the end of the time horizon, even when markets perform well. This results from the increased percentage of remaining assets spent as one ages. This strategy works efficiently to spend